DATA NETWORKS

Rating Application

Empowering Banks & Financial Institutions with Smarter Credit Decisions

Introduction

1

What is a Rating Application?

A system that evaluates the creditworthiness of individuals & corporates

2

Why it Matters?

Ensures consistent, transparent, and faster decision-making.

Business Need / Problem Statement

Manual & inconsistent evaluations

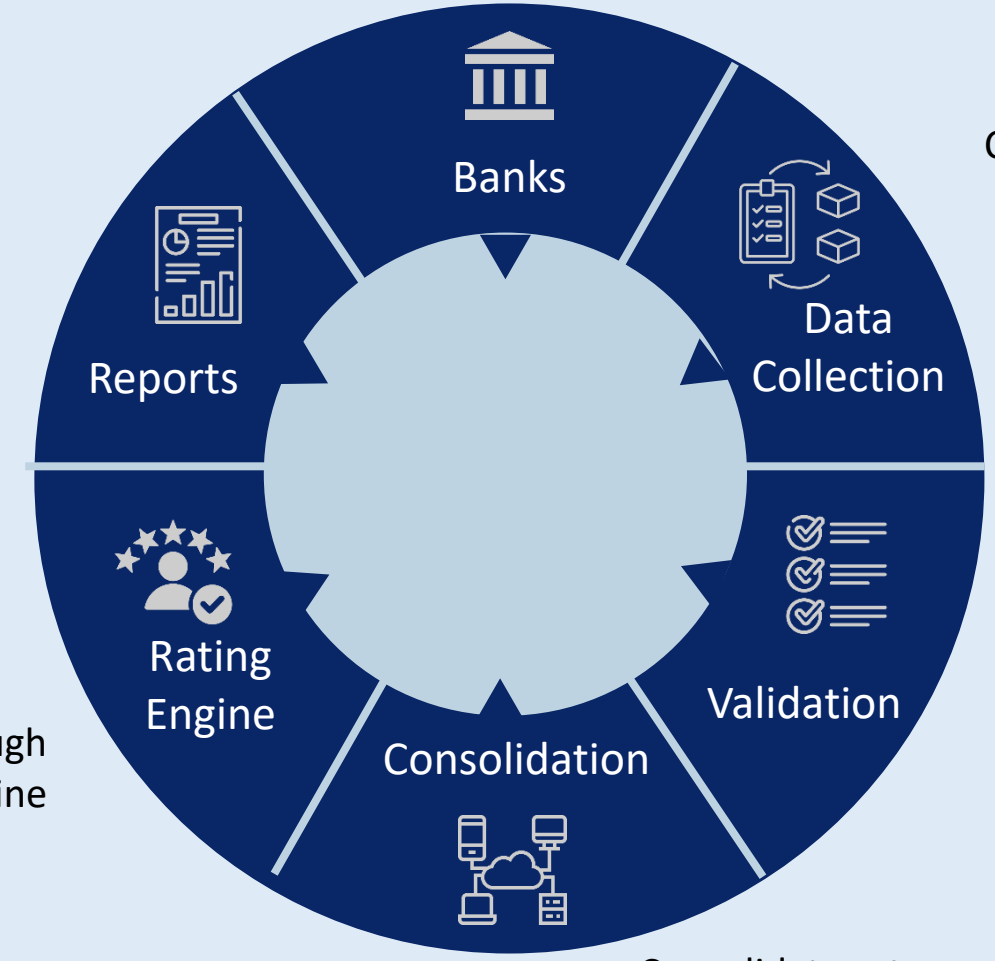
Multiple Data Silos across Banks

Increasing Regulatory pressure (Basel, IFRS 9, local laws)

Need: A centralized automated solution

System Overview

Flow



Collects data from multiple banks

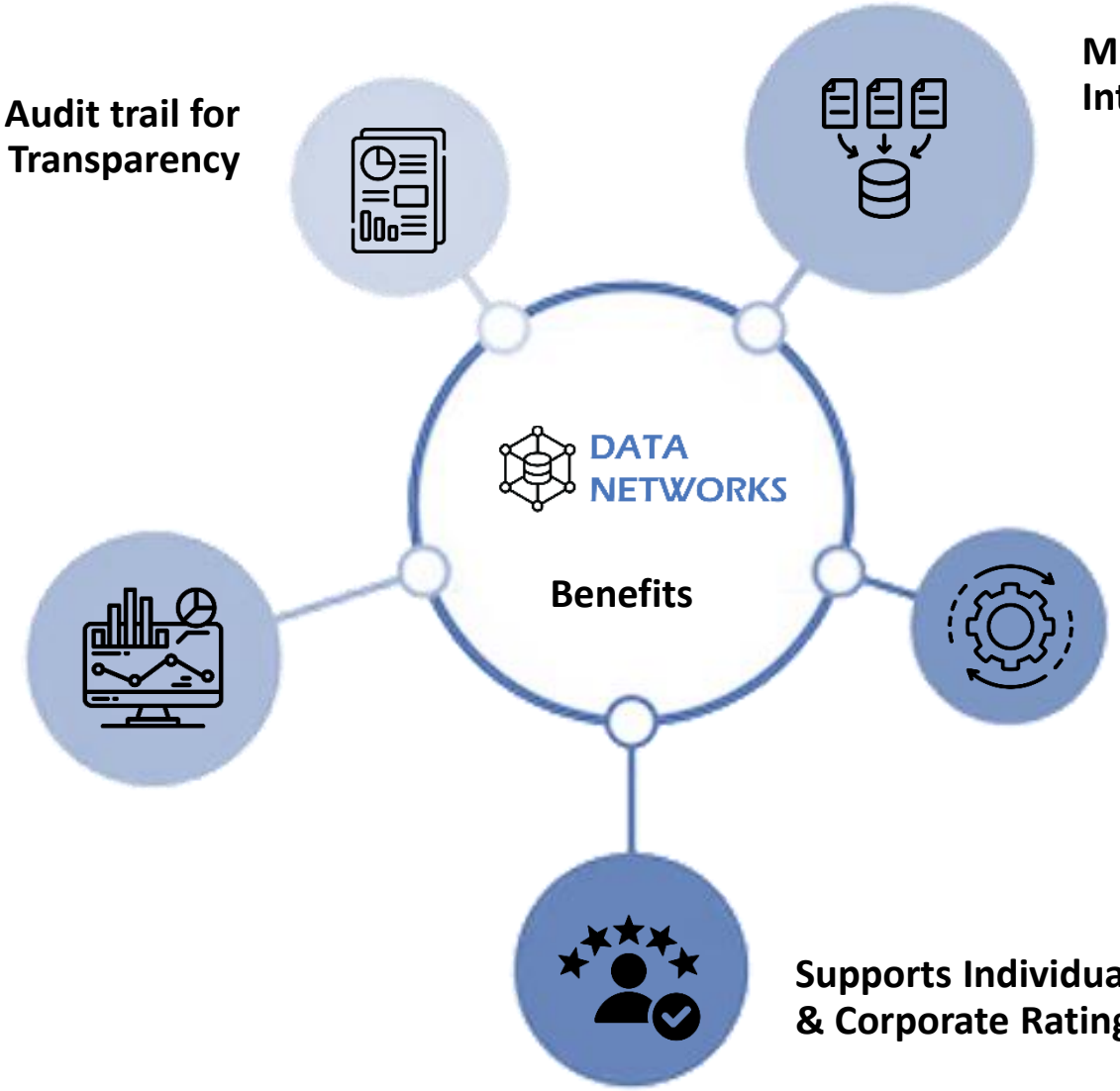
Validates the Data

Consolidates at a central level

Processes through rating engine

Generates individual & corporate ratings + reports

Key Features



Full Audit trail for Transparency

Multi-source Data Integration

Regulatory Reporting Compliance

Automated Scoring & Weightage Models

Supports Individual & Corporate Ratings

Rating Methodology

Inputs

Financials, repayment history, collateral, behavior data

Processing Example

- Financial Strength (40%)
- Repayment History (30%)
- Collateral Quality (20%)
- Market/Behavior Score (10%)

Formula

Final Score = (A×40%) + (B×30%) + (C×20%) + (D×10%)

Output

Risk grade (AAA to D) or numeric score

Example

- **Case**: Corporate Loan
- - Financial Strength = 80
- - Repayment History = 70
- - Collateral = 90
- - Behavior Score = 60

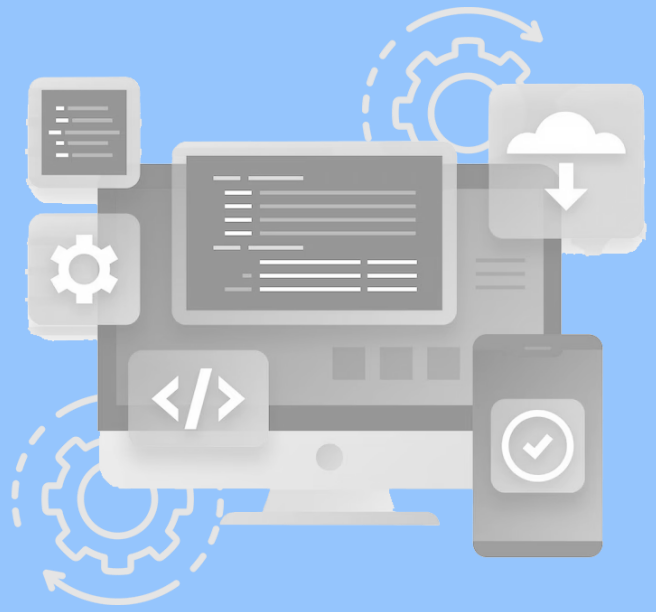
- **Calculation**:
- (80×0.4) + (70×0.3) + (90×0.2) + (60×0.1) = 78

- **Result**: Rating = A (Good Credit Quality)

Cases

Use Cases

- ✓ Faster credit approvals (Loan Origination)
- ✓ Corporate risk monitoring
- ✓ Regulator reporting (e.g., RMA Bhutan)
- ✓ Early warning system for defaults



Benefits

- ✓ Faster decision-making
- ✓ Bias-free & standardized ratings
- ✓ Strong compliance reporting
- ✓ Reduced default risk

UI / Prototype Mockups

01 Data Entry Screen (customer details + financials)

02 Rating Calculation Screen (weightages + scores)

03 Dashboard/Report (Final grade, trend charts, PDF export)

Conclusion / Call to Action

- **CipherMint: 30+ years BFSI technology expertise**
- **Supporting banks in Bhutan & region**
- **Next Steps: Demo, Pilot, Partnership**

Bhutan Example

Case: Bhutan Corporate Borrower

- Financial Strength = 75 (based on audited financials)
- Repayment History = 85 (good repayment record with local banks)
- Collateral = 70 (property pledged in Thimphu)
- Behavior Score = 65 (market reputation, transaction behavior)

Calculation

$(75\times0.4) + (85\times0.3) + (70\times0.2) + (65\times0.1) = 76$

Result

Rating = A (Good Credit Quality)

Use in Bhutan

- Helps Bhutanese banks standardize rating for corporate loans
- Supports RMA regulatory reporting and credit consolidation
- Enables better decision-making for both individual and corporate sectors

DATA NETWORKS

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